

Credit Policy Manual

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Effective Date: January 1, 2025

1. Purpose and Scope

This Credit Policy Manual establishes the lending standards, approval criteria, and risk management framework for all consumer and small business credit products. All lending officers and credit analysts must adhere to these policies when evaluating loan applications and managing existing credit relationships.

2. Credit Score Requirements

Minimum credit score requirements by product type:

Personal Loans: Minimum credit score of 680. Applicants with scores between 680-719 require additional documentation including proof of income for the past 24 months. Scores 720 and above qualify for streamlined approval.

Mortgage Loans: Minimum credit score of 700 for conventional mortgages. FHA-backed mortgages may be considered for scores as low as 640 with compensating factors. Jumbo mortgages (over \$726,200) require a minimum score of 740.

Auto Loans: Minimum credit score of 620. Applicants with scores 620-659 are limited to loan amounts not exceeding \$25,000 and terms not exceeding 48 months. Scores 660 and above qualify for standard terms up to 72 months.

Credit Lines / Home Equity: Minimum credit score of 700. Combined loan-to-value ratio must not exceed 80% for scores 700-739, or 85% for scores 740 and above.

Business Lines of Credit: Minimum personal credit score of 680 for the primary business owner. Business must demonstrate at least 2 years of operating history.

3. Debt-to-Income (DTI) Ratio Requirements

Maximum DTI ratios by loan type:

Personal Loans: Maximum DTI of 40%. For applicants with credit scores above 750, DTI up to 45% may be approved with senior credit officer sign-off.

Mortgage Loans: Maximum front-end DTI (housing expenses only) of 28%. Maximum back-end DTI (all debt obligations) of 36%. For FHA loans, back-end DTI up to 43% is permitted. For applicants with credit scores above 780 and significant liquid reserves (6+ months), back-end DTI up to 45% may be considered.

Auto Loans: Maximum DTI of 45%. The monthly auto payment should not exceed 15% of gross monthly income.

Credit Lines: Maximum DTI of 43% including the new credit line at full utilization.

Business Lines of Credit: Business debt service coverage ratio (DSCR) must be at least 1.25x. Personal DTI of the guarantor must not exceed 50%.

4. Collateral Requirements

Secured Lending Collateral Standards:

Mortgage Loans: Property appraisal required within 120 days of closing. Maximum loan-to-value (LTV) of 80% for conventional loans without PMI. LTV up to 95% permitted with private mortgage insurance. Investment properties limited to 75% LTV.

Auto Loans: Vehicle must be no more than 7 years old at loan maturity. Maximum LTV of 100% for new vehicles, 90% for used vehicles. GAP insurance recommended for LTV above 90%.

Home Equity Lines: Combined LTV (first mortgage + HELOC) must not exceed 85%. Property must be owner-occupied primary residence.

Business Lines: May require business assets, accounts receivable, or personal guarantee. Unsecured lines limited to \$50,000 for businesses with less than 3 years operating history.

5. Approval Authority Thresholds

Lending authority levels:

Credit Analyst: May approve personal loans up to \$25,000 and auto loans up to \$30,000 for applicants meeting all standard criteria (credit score, DTI, employment verification).

Senior Credit Officer: May approve personal loans up to \$100,000, auto loans up to \$75,000, and mortgages up to \$500,000. May grant DTI exceptions up to 5 percentage points above standard limits for applicants with compensating factors.

Credit Committee: Required for all mortgage loans above \$500,000, any loan requiring DTI exception above 5 percentage points, all business lines of credit above \$250,000, and any loan to a borrower with prior bankruptcy (discharged more than 7 years ago).

Chief Credit Officer: Required for any single exposure exceeding \$1,000,000 and any exception to minimum credit score requirements.

6. Employment and Income Verification

All applicants must provide:

Employed Applicants: Two most recent pay stubs, W-2 forms for the past 2 years, employer verification letter for employment less than 2 years. Minimum employment tenure of 6 months at current employer (waived for job changes within same industry with salary increase).

Self-Employed Applicants: Two years of personal and business tax returns, current year profit-and-loss statement, business bank statements for the past 6 months. Self-employed income is calculated as the 2-year average of net business income. Declining income trend requires additional scrutiny and may result in using the lower year's income.

Retirement Income: Social Security award letter, pension statements, 1099-R forms. Retirement income is considered stable and does not require employment verification.

Rental Income: Lease agreements, Schedule E from tax returns. Only 75% of gross rental income is counted toward qualifying income to account for vacancies and maintenance.

7. Credit Utilization Guidelines

Credit utilization is a key factor in risk assessment:

High Utilization Warning: Applicants with revolving credit utilization above 70% are flagged for additional review. Utilization above 85% requires documentation of a plan to reduce balances or evidence that high utilization is temporary.

Optimal Range: Credit utilization between 10-30% is considered optimal and indicates responsible credit management.

New Credit Restrictions: Applicants who have opened 3 or more new credit accounts in the past 12 months require additional review to assess credit-seeking behavior.

Balance Transfer Considerations: Recent large balance transfers (within 90 days) should be evaluated to determine if they represent new debt or consolidation of existing obligations.

8. Risk Rating Definitions

Internal risk ratings for credit portfolio management:

Rating 1 -- Minimal Risk: Credit score 780+, DTI below 25%, stable employment 5+ years, no derogatory marks. These borrowers represent the lowest probability of default.

Rating 2 -- Low Risk: Credit score 720-779, DTI below 35%, stable employment 2+ years, no recent delinquencies. Standard monitoring frequency.

Rating 3 -- Moderate Risk: Credit score 680-719, DTI below 40%, employment stable but may have minor credit blemishes (1-2 late payments more than 24 months ago). Quarterly review recommended.

Rating 4 -- Elevated Risk: Credit score 620-679, DTI 40-45%, may have recent late payments or high utilization. Monthly monitoring required. New lending restricted to secured products.

Rating 5 -- High Risk: Credit score below 620, DTI above 45%, active delinquencies or collections. No new lending. Existing exposure should be managed for loss mitigation. Work-out strategies should be developed for borrowers showing signs of financial distress.